TAM CAPITAL

Employees Dealing V.1

Approved by: **Board of Directors**
Date: [DD/MM/YYYY] (Place Stamp)

Employees Dealing Policy

Personal Dealing Policy for Employees of Tam Capital

1.2 Purpose

The purpose of creating this "Personal Trading Notification Policy" document is to clarify the company's policies regarding employees' personal trading in the Saudi Stock Market.

2.2 Objectives

This document aims to achieve the following objectives:

- Specifically inform employees about the personal trading notification as outlined in Annexe 5-7 of the Capital Market Institutions Regulations issued by the Saudi Capital Market Authority.
- Ensure compliance with the requirements of Article 50 of the Capital Market Institutions Regulations.
- Educate employees on their ongoing obligations regarding personal trading.
- Monitor personal trading activities of employees in securities to ensure compliance with the regulations.

3.2 Approval

The document and any amendments to it are proposed by the Compliance and Risk Officer and approved by the CEO of **Tam Capital**.

4.2 Amendment/Update of Document

The document may be amended based on recommendations from the Compliance and Risk Officer or amendments made to related regulations by the Capital Market Authority. All approved amendments are to be sent to the HR department for dissemination to employees immediately upon approval.

5.2 Implementation and Effectiveness

This policy will be implemented from the date of its approval, and the CEO should review it periodically, especially when company policies change that may require a review and modification of this document. The Compliance and Risk Officer is responsible for notifying the CEO and their designee of any changes in the company’s policies or any regulatory changes that require an update to this document.

6.2 Understanding Article 50 of the Capital Market Institutions Regulations

1. According to Article 50 of the Capital Market Institutions Regulations issued by the Capital Market Authority under Decision No. 1-83-2005 dated 21/05/1426H (28/06/2005), and amended by the CMA Board Decision No. 2-75-2020 dated 22/12/1441H (12/08/2020), the following restrictions apply:

- **a)** It is prohibited for any employee of a financial market institution to knowingly engage in the following actions:
    1. Be a party in any transaction involving a security in which any client of the financial institution is involved.
    2. Open a trading account with another financial market institution without obtaining prior approval from the institution they are employed with.
- **b)** Any employee of a financial market institution must disclose to the Compliance and Risk Officer all securities transactions they execute for their personal account or on behalf of another person, unless the transaction is made in their capacity as an employee of the institution, **within seven days of execution**.
- **c)** The Compliance and Risk Officer must establish appropriate procedures to monitor employees' personal trading activities in securities to ensure compliance with the law and executive regulations.
- **d)** The financial market institution must establish special procedures for personal account transactions in line with the provisions of Annexe 5-7 of the Capital Market Institutions Regulations.

2. Interpretation of the article requires that employees of **Tam Capital** read the personal trading procedures contained in this document upon joining and comply with the outlined rules. Employees are prohibited from engaging in personal trading in securities without disclosing such activities to the Compliance and Risk Officer.
    - It is prohibited for employees to place buy or sell orders for securities from their personal accounts or from accounts managed by them for any **Tam Capital** clients.

7.2 Employee Personal Trading Procedures

Employees must adhere to the following personal trading requirements:

1. **Permission to Trade**:
    - Employees are allowed to buy and sell securities from the following categories:
        - Listed stocks according to the guidelines in Section 2.
        - Subscription rights according to Section 2 guidelines.
        - Bonds and Sukuk.
        - Investment fund units of all categories.
        - Participation in initial public offerings (IPOs) for all types of securities.
    - Employees must obtain prior approval from the Compliance and Risk Officer before opening an investment portfolio with a broker to trade in Saudi equities or mutual funds on the Saudi Stock Market (Tadawul) or the Nomu Market.
    - Employees are prohibited from buying or selling units of any investment funds managed by the company, whether listed in the main market or Nomu, or any closed-end funds with buy/sell opportunities post-launch, without prior permission from the Compliance and Risk Officer and the CEO. However, public offerings and new fund launches are exempt from this rule.

- Employees must disclose to the Compliance and Risk Officer all personal securities transactions they carry out for their own account or on behalf of another person, within seven days from the date of execution.
- All employees must submit quarterly trading disclosure forms to the Compliance and Risk Officer within 10 days of the end of each quarter. Failure to submit the required forms on time may negatively affect the employee's annual performance evaluation.

2. **Restrictions on Trading Listed Stocks and Subscription Rights**:
   - **For long-term investment**: Employees are allowed to trade listed stocks and subscription rights in the Saudi Stock Market for long-term investment, with a holding period of more than three months, without requiring prior approval from the Compliance and Risk Officer. However, they must regularly disclose their trading activities.
   - **For short-term investment**: Day trading, weekly trading, or short-term investment is prohibited due to the potential distraction from fulfilling job duties and prioritizing client interests. However, sales of stocks may be allowed after prior approval from the Compliance and Risk Officer in exceptional cases where the target price has been achieved within a period shorter than three months.
   - **Subscription rights**: Employees are allowed to trade subscription rights for the purpose of exercising subscription rights without restrictions.
3. **Scope of Financial Markets**:
   - These procedures apply to personal trading in the Saudi Stock Market. Investments in other financial markets and all types of securities in those markets are allowed without restriction.
4. **Rights Issues and Control Purchases**:
   - The restrictions mentioned in this policy apply to any formal or informal offer to buy or sell, or to acquire rights in rights issues, convertibility rights, or subscription rights.
   - This includes the purchase or sale of securities under any offer, such as purchasing control or a public offer to acquire control above the market price offered to the public or most owners of the security in question.
5. **Executors of Wills and Agents**:
   - The restrictions apply to any transactions carried out by an employee:
     - As an executor of a will in which they or their close relatives own a significant share.
     - As an executor of any other will, unless the employee is entirely dependent on the advice of another person (e.g., another broker or lawyer).
     - On behalf of another person, unless the employee is acting in their capacity as an employee of **Tam Capital**.
6. **General Exemptions**:

- The restrictions do not apply to transactions in a managed account or an account where the manager has discretionary authority, as long as the transaction is conducted without consulting the employee.

7. **Buying from or Selling to Clients**:
   - Employees are prohibited from selling to or buying from any client for their personal accounts.
8. **Reporting a Transaction**:
   - Employees must report in writing any purchase or sale of securities executed through any entity other than **Tam Capital**. However, employees are not obligated to report transactions if the financial market institution receives a copy of the execution notice (or similar report) related to the transaction.

9. **Pre-Recommendation Trading**:
   - Employees are prohibited from trading if they are aware that the company intends to publish a research recommendation that could influence the price of the related securities. Trading should only occur after the recommendation is publicly disclosed and after providing clients a reasonable opportunity to act on the recommendation.
10. **Conflicting with Client Interests**:

- Employees must not trade in any security if they are aware that it could adversely affect the interests of a specific client. For example, trading in stocks of companies in illiquid markets where the client has invested, causing the stock price to drop due to the employee's sales, would be considered a conflict of interest.

11. **Personal Benefits**:

- If the employee's job involves providing advice regarding securities, including preparing research materials or executing trades for their own account, they must not accept any benefit, incentive, or reward that may conflict with their duties towards the financial institution or its clients.

12. **Advising or Arranging for Another to Trade**:

- If the employee is prohibited from executing a trade, they are also prohibited from advising or arranging for another person to execute such a trade.

13. **Summary of Insider Trading Rules**:

- Employees must not engage in trading based on non-public, material information. Such trading can lead to legal liabilities, including fines or imprisonment.

8.2 Forms:

8.2.1 Personal Trading Disclosure Form (Attached)

تام المالية
TAM CAPITAL

Personal Dealing Discloser Form

For the Period :…….

#	اسم الورقة المالية Security Name	نوع الورقة المالية Security Type	العدد Quantity	نوع العملية Type of Transaction	التاريخ Date	فترة الاحتفاظ Holding Period
1						
2						
3						
4						
5						
6						
7						
8						
9						
10						
11						

						12

Signature		: Employee's Name

The Undertaking

TO:	TAM CAPITAL	شركة تام المالية
a)	I undertake to observe the provisions of the Capital Market Law and of the Market Conduct Regulations in relation to insider trading as they may be amended or replaced in the future and the requirements regarding personal dealing transactions that are set out in the foregoing notice.	أتعهد بالالتزام بأحكام النظام ولائحة سلوكيات السوق الخاصة بالتداول بناءً على معلومات داخلية، والتعديلات التي يمكن أن تدخل عليها، أو القواعد التي يمكن أن تحل محلها في المستقبل، والمتطلبات المتعلقة بصفقات التعامل الشخصي كما وردت في الإشعار آنف الذكر.
b)	I agree that this undertaking extends to any amended or replacement requirements that **TAM capital** set out in any written notice which you subsequently give to me.	أوفق على أن هذا التعهد يشمل أي متطلبات معدلة، أو بديلة يمكن أن تقوم **تام المالية** بتضمينها في أي إشعار كتابي تقوم بإعطائه لي فيما بعد.
c)	I further agree that this undertaking shall form part of the contract of employment (or contract for services) with you and that any breach of this undertaking will	وأوافق على أن هذا التعهد يشكل جزءاً من عقد العمل (أو عقد الخدمات) المبرم معكم، وأن أي إخلال هذا التعهد يعطيكم الحق، من بين أشياء أخرى، في إنهاء العقد دون إنذار سابق.

	entitle you, among other things, to terminate that contract without notice.	

Name:

Signed:

Date:

Document Control

Prepared By	Chief Compliance Officer
Reviewed By	CEO
Endorsed By	Audit Committee
Approved By	Board of Directors
Custodian	Head of Human Resources

Change Control

Ver.	Date	Brief Description of Changes
1		Initial Document

Issue Control

Sr. No.	Copy Holders
1	Board of Directors
2	Audit Committee
3	CEO
4	Head of Human Resources- Chief Compliance Officer
5	All Staff